

the futures fell, the stock price too would move lower in tandem, in turn triggering stop loss limits and margin calls, aggravating pressure on the stock as weaker players started selling out. Stocks favoured by short-term players like hedge funds too fitted the bill. However, even as a group we were not able to influence the price of a large-cap stock beyond a point. But with a little bit of planning, we could call the shots in many of the mid-cap stocks.

Sometime in October, GB suggested that we go after this energy player, which was a darling of fund managers at the peak of the bull market. This stock too had taken a pounding in the market downtrend. But there were additional factors weighing down the stock. Some ill-conceived acquisitions and glitches in the company's products had soured sentiment for the stock, and by mid-September, its price had nearly halved from its record high. By early October, the stock price had fallen below Rs 100, which was when GB suggested the stock as a potential target for a bear raid.

I looked at its price chart and told GB that it did not look very appealing to me.

'The stock is already reduced to one-fourth of what it was at the start of the year; assuming there is still some downside left, how much lower can it go?' I asked GB.

'You forget one of the market truisms I told you long back, Lala: bull markets have no tops and bear markets have no bottoms,' he retorted.

'I haven't forgotten any of your teachings, Govindbhai. The charts are telling me that there is a desperate attempt to keep the stock price above Rs 100. And I am told the promoter is well networked with fund managers and other investors to be able to defend his stock price in a crisis situation,' I countered.

'That makes the game all the more interesting, doesn't it?' GB said.

'Maybe. But there are other, easier stocks to make money off, so why get into this one?' I said, trying to reason with him.

I was beginning to suspect that he may have a personal reason for going after this stock. 'Never let your ego affect your judgement' is one of the cardinal rules of stock trading. Some players have come to grief violating this rule, but I have also known traders who would, once in a while, indulge their egos and even get away with it.

'Trust me on this one, Lala, there is some good money to be made here,' GB persisted.